Nittobo

3110.T | Tokyo Prime | 2026-10-07

Q4 2027 model ceiling: JPY 4,445.84

Analytical Base 47/60 = 78 | High Conviction / Bottleneck

forward-four-quarter operating profit at 20x; New initiation assumption: qualified specialty materials with strong operating leverage support 20x OP; not a copied analyst target or P/E. Treat as equity proxy with small current net debt; no cash addition or debt subtraction in this locked formula once adopted. Financing risk discussed separately.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: JPY 3,640.00 on 2026-10-06. Model diluted shares at Q3 2026: 182.031m. Indicative diluted capitalization: JPY 662,591.5m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in JPY m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	40,514.6	20x	182.258	4,445.84

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Probabilities have already been applied to the operating forecast; they are not applied again to the valuation.

Thesis

Nittobo sits where a material that costs relatively little can determine whether a much more expensive electronic assembly meets its specifications. Large packages need reinforcement that limits dimensional change and warpage. High-speed boards need low-loss glass that helps preserve the electrical signal. These are different engineering requirements, supplied by different glass compositions. Nittobo's integrated capability across glass melting, yarn, weaving and finishing makes accepted product difficult to reproduce simply by adding a generic glass furnace.

The commercial thesis is qualified specialty-glass output, higher-value grade mix and disciplined reinvestment. It is not a claim that every AI board must buy Nittobo, or that all glass enjoys identical scarcity pricing. The latest quarter already converts demand into profit, but management is prioritizing additional supply and market share over immediate further price increases. Our forecast incorporates that distinction.

Evidence anchor and calendar

Nittobo calls April 2026-March 2027 **FY2026**. This differs from a “FY2027” label based on the March year-end. The last released quarter as of this review is April-June 2026, announced 5 August. The next scheduled release is 5 November. Calendar Q3 2026 is therefore issuer FY2026 Q2. The model consistently uses calendar quarter labels.

The latest quarter reported ¥34.033B revenue, ¥14.914B gross profit, ¥6.971B SG&A and ¥7.943B operating profit. Revenue grew 20.6% and OP 84.8% year on year. Electronic Materials external sales were ¥14.589B and segment OP ¥7.036B. The presentation separately shows approximately ¥18.1B electronic sales **including internal transactions**. Those internal sales are not added to consolidated revenue. Medical sales were ¥3.818B, Composite ¥3.830B, Materials Solutions ¥2.615B, Insulation ¥4.399B and Other ¥4.780B. Published rounding accounts for a ¥2M difference between segment summation and group sales. [August financial release, pp1-3, 6-9; source copy retained locally.]

FY2026 guidance was raised to ¥141B revenue and ¥30B OP, including ¥69.3B/¥15.3B in the first half. This already includes specialty-glass growth and prior price changes. May's revised medium-term plan targets FY2027 revenue ¥155B and OP ¥36B, with EBITDA ¥51B. The four-year accepted capex budget increased from ¥80B to ¥120B. The August deck shows FY2026 accepted capex of ¥45B, D&A ¥11.3B and R&D ¥4.6B. A new furnace creates depreciation and labor costs before all product is qualified; the model does not treat increased nameplate as cost-free saleable capacity. [August deck pp9-16; May12 MTBP revision pp1-2.]

The prior annual result is useful mainly as a cash and accounting check. FY2025 sales were ¥118.229B, GP ¥47.576B and OP ¥20.819B. Net income ¥41.770B included a ¥34.165B fixed-asset disposal gain plus securities gains. That unusual net profit and associated investing cash inflow are excluded from recurring earnings. CFO was ¥17.296B; cash PPE investment ¥20.518B. [May12 annual release pp1, 8, 13-14.]

The physical bottleneck and who captures the value

T-glass is a low-thermal-expansion reinforcement. Nittobo's application map assigns it to advanced CPU/GPU/ASIC packages, server-memory packages, thin package substrates and edge-device applications. Larger packages and finer interconnect tolerances increase the importance of dimensional stability. A customer must evaluate the complete resin/glass/foil stack and process performance, so a nominally similar thermal-expansion number does not by itself qualify a substitute. The company retains the high-value downstream cloth process instead of selling all T-glass yarn externally. Its advantage is repeatable material quality at volume, supported by the integrated process.

NE and NER are low-dielectric/low-loss families. The roadmap connects NE to earlier high-speed boards and NER to 800GbE/112Gbps applications; subsequent adoption depends on resin formulation and link requirements as well as glass. Faster signaling is helpful, but the model must allow NER to replace NE rather than count every upgrade as an entirely new revenue pool. NEZ and Vlex are future platform directions. Their development supports the TAM argument; no separate commercial revenue line is added without customer economics.

Nittobo is upstream of CCL suppliers such as EMC and TUC and package-substrate producers including AT&S and Samsung Electro-Mechanics. The physical relationship does not prove any specific unreported supply contract. A substrate maker can face area/layer/yield pressure while a glass supplier earns on accepted yarn or cloth; those unit bases must remain separate. Neither the broad AI capex pool nor the value of the finished accelerator is Nittobo revenue.

There are several gates to usable capacity: composition and melting stability, yarn quality, weaving, treatment, customer process qualification and repeatable yield. The August roadmap shows Taiwan T-glass melting capacity added in FY2026, then Fukushima treatment capacity and Baotek T-related mass production in FY2027. Domestic development continues toward NEZ and Vlex. The yarn, weaving and finishing stages must arrive together. Exact saleable tonnes and yield percentages by grade are not publicly disclosed in the reviewed package, so the model uses explicit revenue allocation proxies rather than invented plant tonnage.

Management evidence and counter-evidence

Both the May12 and August5 management Q&A were reviewed. In May, management emphasized supply growth, high-quality integrated manufacture and expanded 800G/1.6T opportunities; it was not planning another immediate specialty-glass price increase. By August, it again described strong T and NER demand, retained the existing expansion program and acknowledged customers investigating competing low-CTE glass because Nittobo could not yet meet all demand. Management said further T pricing would be considered when added supply became available; it had no current-fiscal-year NER increase planned. [May issuer Q&A distributed May14; August issuer Q&A, p1.]

This is important counter-evidence to an unconstrained monopoly narrative. Short supply makes the incumbent valuable but also pays customers to qualify alternatives. Production expansion protects share and lowers scarcity over time. We therefore retain a bounded later repricing branch and a separate competitor-qualification downside, rather than putting the entire business on a permanent premium. The October5 BofA report's NER growth expectations are treated as a named bank channel check. Its growth rate is not applied to T-glass, other segments or all electronic sales.

Reference model and operating bridge

The model carries nine external-sales vectors: T-glass, NER, NE, other electronics, medical, composite, materials solutions, insulation and other. Only reported segment totals are facts. The absolute T/NER/NE split and product GMs are **ASTRA allocation assumptions**, clearly marked in the file. FY2026 electronic sales are allocated to ¥28B T, ¥15B NER, ¥14B NE and ¥4.3B other electronics. These sum to ¥61.3B external electronic revenue, which reconciles the group guidance after the other disclosed business forecasts. They do not claim company-disclosed individual product sales.

FY2027 reference sales reach the management ¥155B target: T ¥36B, NER ¥21B, NE ¥13B and other electronics ¥4.2B, plus ¥80.8B from the other businesses. NER's reference growth is already 40%; the reduction in NE embeds part of the substitution. Later reference electronic revenue rises to ¥87.5B, ¥100.3B and ¥110.6B in FY2028-30, while the non-electronics businesses grow much more slowly. These later figures are low-confidence forecasts supported by the capacity timetable and application map, not management guidance.

Each vector has its own GM. FY2027 reference T/NER/NE margins are 68%/68%/62%, declining to 64%/63%/59% by FY2030 as new capacity, competition and product mix normalize. Those margins are proxy allocations, not disclosed SKU margins. Other-business assumptions are much lower except medical. Total GP less explicitly modeled R&D and SG&A produces OP. R&D is a subset of modeled operating expense, never an additional charge on top of the same reported expense. FY2026 and FY2027 reference OP reconcile to ¥30B and ¥36B. Thereafter total opex moves from 21.49% of sales to 20.0%, 19.2% and 18.8%, representing leverage despite continuing development spend. The model is not a fixed OP-margin shortcut.

The near-term expense calibration is guidance-based. Later margin and expense leverage are material uncertainties. If commissioning expense or power costs absorb the mix gain, the reference operating trajectory must fall even if nominal revenue grows. Product mix, qualified production, gross profit and accepted capex are more useful update signals than a bank EPS target.

Probability-weighted additions and downside

Three non-overlapping branches enter the adopted active model:

1. **NER demand beyond reference: 35%.** The FY2027 conditional endpoint is ¥24B NER sales, consistent with 60% growth on the assumed ¥15B base, versus ¥21B in the reference. A quarter of the extra NER wallet displaces NE. Incremental GP uses the separate grade margins, and 7% of incremental NER sales is reserved for extra operating costs. In the active Q4 2027 earnings window this contributes ¥0.7875B sales and ¥0.4740B OP. The reference already contains 40% NER growth and the ordinary capacity plan; only the extra piece is weighted. 2. **Later T-glass new-order pricing: 25%.** From CYQ4 2027, the conditional case is an 8% premium on only 25% of reference T-glass revenue. Half the premium is consumed by energy/material/labor costs, and 5% by selling and qualification expense. The active window receives ¥0.1968B sales and ¥0.0886B OP. Nothing is added for the current fiscal year, since earlier rises and management's current pricing stance are already reflected. No premium is layered on incremental NER volume. 3. **Competitor qualification: 20%.** From CYQ2 2028, a conditional 5% of T-glass revenue is lost to qualified alternatives. Lost GP and a 5%-of-lost-sales fixed-cost reserve reduce active-window OP by ¥0.1486B. This is a volume/share effect, separate from the reference GM fade. It does not assume an industry demand collapse.

Net active-window incremental OP is ¥0.4139B, taking the four-quarter total from ¥40.1006B to ¥40.5146B. Each branch has quarterly amounts and escalation/reduction triggers in the operating-model appendix. None treats official confirmation as a prerequisite; none treats high source esteem as certainty about an undisclosed base.

Capital, dilution and valuation

At June30, assets were ¥280.413B, parent equity ¥177.248B and cash/deposits ¥45.476B. Borrowings and bonds totaled ¥48.005B; leases added ¥1.263B, leaving approximately ¥3.792B net debt including leases. Inventory was ¥64.184B. The balance sheet provides financing flexibility, but accepted annual capex of ¥45B means free cash flow can be below OP while the plants are built. Cash released by last year's property sale is finite.

The July1 2026 split was **five-for-one**. Latest disclosed post-split issued shares were 188.615060M, treasury 6.584435M, net outstanding 182.030625M and quarterly weighted average 182.026674M. The new model starts on that post-split basis and adds a modest, explicitly assumed 0.10% annual dilution reserve. No speculative buyback reduces the denominator. The latest release does not present diluted EPS; a complete current option/award inventory remains a refresh item.

The adopted new-company method is **20x forward-four-quarter operating profit / starting-quarter modeled diluted shares**. The multiple reflects qualified specialty-material earnings while recognizing the capital intensity and competition; it is not an analyst target or a net-earnings P/E. Current net debt is small relative to the

enterprise, so this is the framework's operating-profit equity proxy without a separate cash uplift. Once adopted, the method should be locked for subsequent routine updates.

For Q4 2027, the exact window is Q4 2027-Q3 2028: ¥40,514.562M OP x20 /182.258192M shares = **¥4,445.84**. Fifteen ceiling quarters through Q1 2030 are provided with the supporting operating quarters, including lower-confidence tail years. Annual FY2027-30 active revenue is ¥155.881B/171.273B/186.538B/199.675B; OP is ¥36.520B/44.800B/51.153B/55.653B. These are model outputs, not company promises.

Score, risks and decision tests

Category	Score	Evidence
Core	18/20	Difficult specialty composition and integrated yarn-to-cloth quality; qualified alternatives exist
Cycle	8/10	Demand already monetizing, with FY2026-28 capacity still ramping
TAM expansion	8/10	Packaging, networks, memory and edge applications; later recipes remain conditional
Catalysts	4/5	November results, furnace/processing qualification and new grade mix
Macro	8/10	AI/network investment supports demand, partly offset by FX/energy exposure
Alpha	4/5	Good-output and mix bridge is more informative than generic glass volume
Risks	-3	Competition/substitution; capital/ramp/energy execution; end-market/FX/Taiwan cycle exposure
Total	**47/60 to 78/100**	High Conviction, not an unqualified monopoly

The highest-value next evidence is accepted T/NER production, gross-profit conversion, commissioning costs and customer qualification. Raise NER's 35% branch to 50% only with qualified shipment/mix evidence; lower it to 15% if yields or substitutions disappoint. Raise the T premium from 25% to 45% with accepted new capacity and better new-order economics, or reduce it to 10% if share defense requires stable terms. Competitor migration can raise the 20% downside to 40%. These are pre-registered model tests, not reasons to wait before assigning any value today.

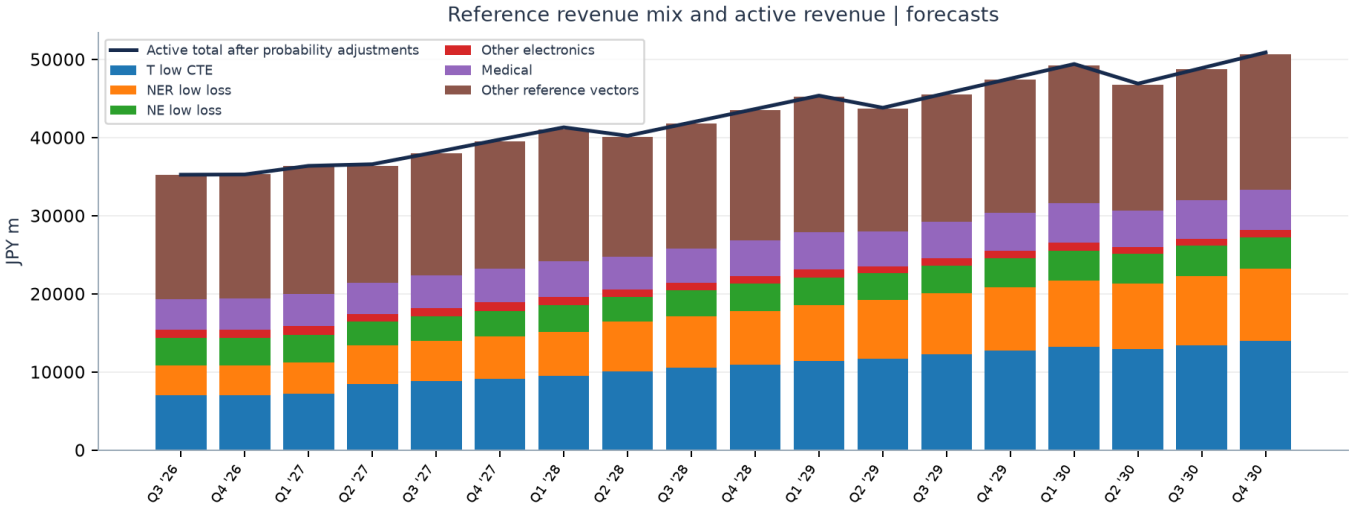
The broader portfolio already has substantial exposure to the same AI packaging/network buildout. Owning Nittobo alongside CCL and substrate makers diversifies the manufacturing stage, not the end-demand shock. Its upstream pricing can be a downstream margin cost until contracts reprice. The artifact should therefore be evaluated jointly with EMC, TUC, AT&S, Samsung Electro-Mechanics and Kingboard without assuming their margins all expand together.

Source exhibits retained for the final PDF: August deck pp5 (OP bridge), 11 (capex/D&A/R&D), 15 (special-glass index), 16 (capacity chain), 20 (use cases), 21 (technology roadmap). Captions must translate the units: □□/□□ means ¥100M; the special-glass chart is an index, not sales. Full source originals are preserved.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	18	See the scoring evidence and distinct risk classes in the analysis.
Cycle	8	See the scoring evidence and distinct risk classes in the analysis.
TAM	8	See the scoring evidence and distinct risk classes in the analysis.
Catalysts	4	See the scoring evidence and distinct risk classes in the analysis.
Macro	8	See the scoring evidence and distinct risk classes in the analysis.
Alpha	4	See the scoring evidence and distinct risk classes in the analysis.
Risk classes	-3	See the scoring evidence and distinct risk classes in the analysis.
Total	47/60	Rounded Base 78. Both artifact and new workbook row use this score; this is not a manual override.

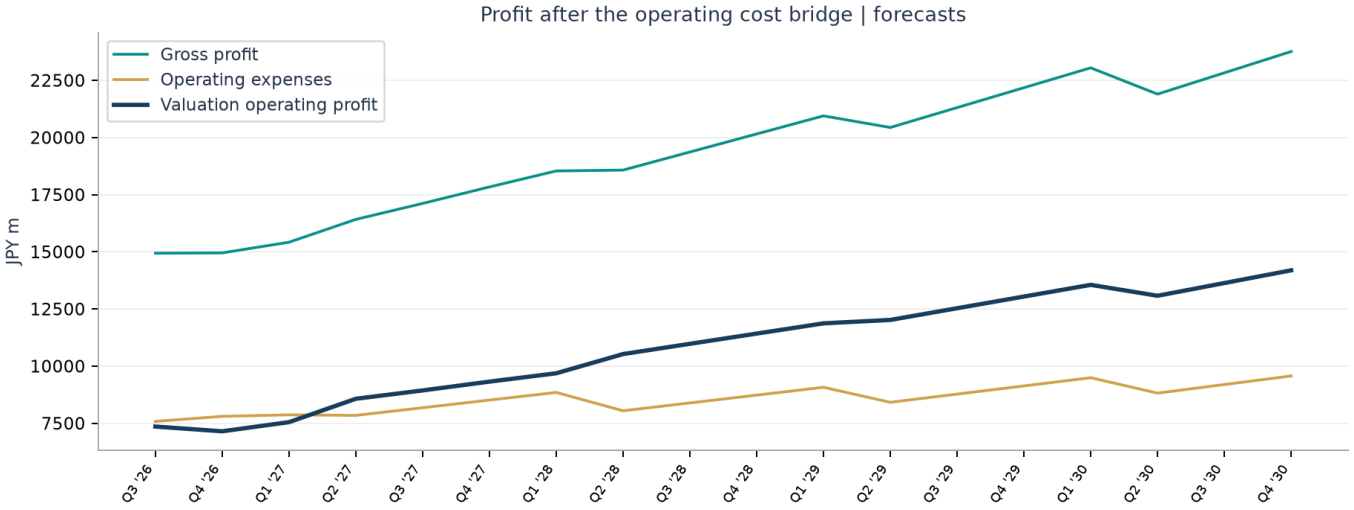
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	35,267.0	0.0	35,267.0
Q4 2026	35,300.0	0.0	35,300.0
Q1 2027	36,400.0	0.0	36,400.0
Q2 2027	36,425.0	185.1	36,610.1
Q3 2027	37,975.0	192.9	38,167.9
Q4 2027	39,525.0	246.7	39,771.7
Q1 2028	41,075.0	256.4	41,331.4
Q2 2028	40,114.5	134.5	40,249.0
Q3 2028	41,821.5	140.3	41,961.8
Q4 2028	43,528.5	146.0	43,674.5
Q1 2029	45,235.5	151.7	45,387.2
Q2 2029	43,710.0	126.3	43,836.3
Q3 2029	45,570.0	131.7	45,701.7
Q4 2029	47,430.0	137.1	47,567.1
Q1 2030	49,290.0	142.4	49,432.4
Q2 2030	46,741.5	182.1	46,923.6
Q3 2030	48,730.5	189.9	48,920.4
Q4 2030	50,719.5	197.6	50,917.1

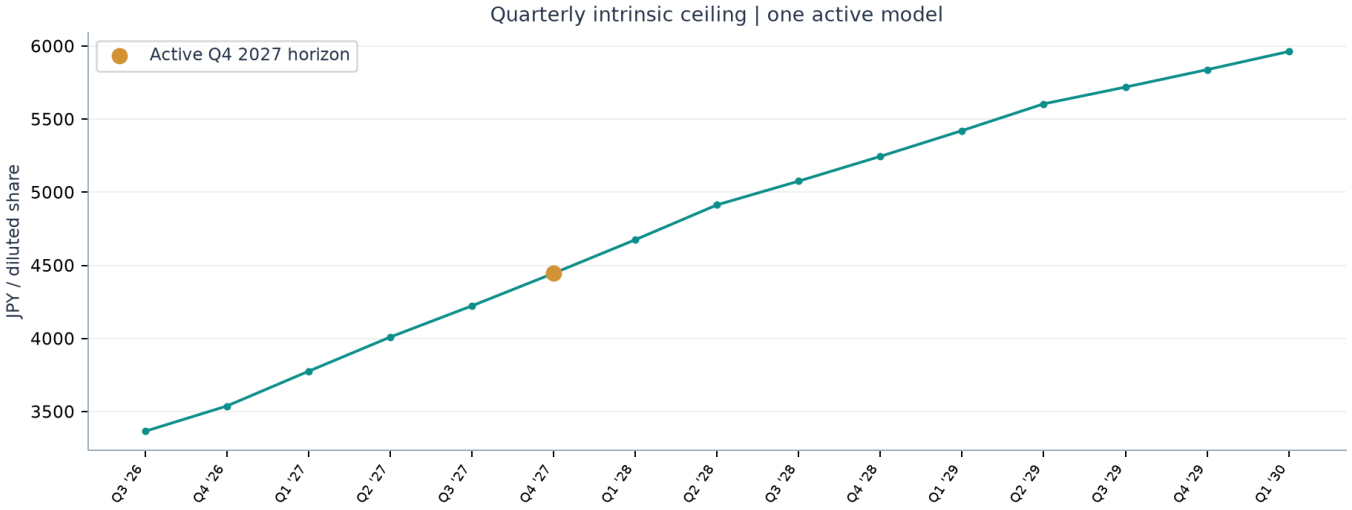
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	35,267.0	14,940.1	7,583.1	7,357.0	20.9%
Q4 2026	35,300.0	14,954.0	7,804.0	7,150.0	20.3%
Q1 2027	36,400.0	15,420.0	7,870.0	7,550.0	20.7%
Q2 2027	36,610.1	16,418.3	7,846.1	8,572.3	23.4%
Q3 2027	38,167.9	17,117.0	8,179.9	8,937.0	23.4%
Q4 2027	39,771.7	17,838.6	8,516.1	9,322.5	23.4%
Q1 2028	41,331.4	18,538.1	8,850.1	9,688.1	23.4%
Q2 2028	40,249.0	18,575.8	8,047.8	10,528.0	26.2%
Q3 2028	41,961.8	19,366.2	8,390.2	10,976.0	26.2%
Q4 2028	43,674.5	20,156.7	8,732.7	11,424.0	26.2%
Q1 2029	45,387.2	20,947.1	9,075.1	11,872.0	26.2%
Q2 2029	43,836.3	20,439.4	8,418.4	12,021.0	27.4%
Q3 2029	45,701.7	21,309.1	8,776.6	12,532.5	27.4%
Q4 2029	47,567.1	22,178.9	9,134.9	13,044.0	27.4%
Q1 2030	49,432.4	23,048.6	9,493.1	13,555.5	27.4%
Q2 2030	46,923.6	21,898.5	8,820.1	13,078.3	27.9%
Q3 2030	48,920.4	22,830.3	9,195.5	13,634.9	27.9%
Q4 2030	50,917.1	23,762.2	9,570.8	14,191.4	27.9%

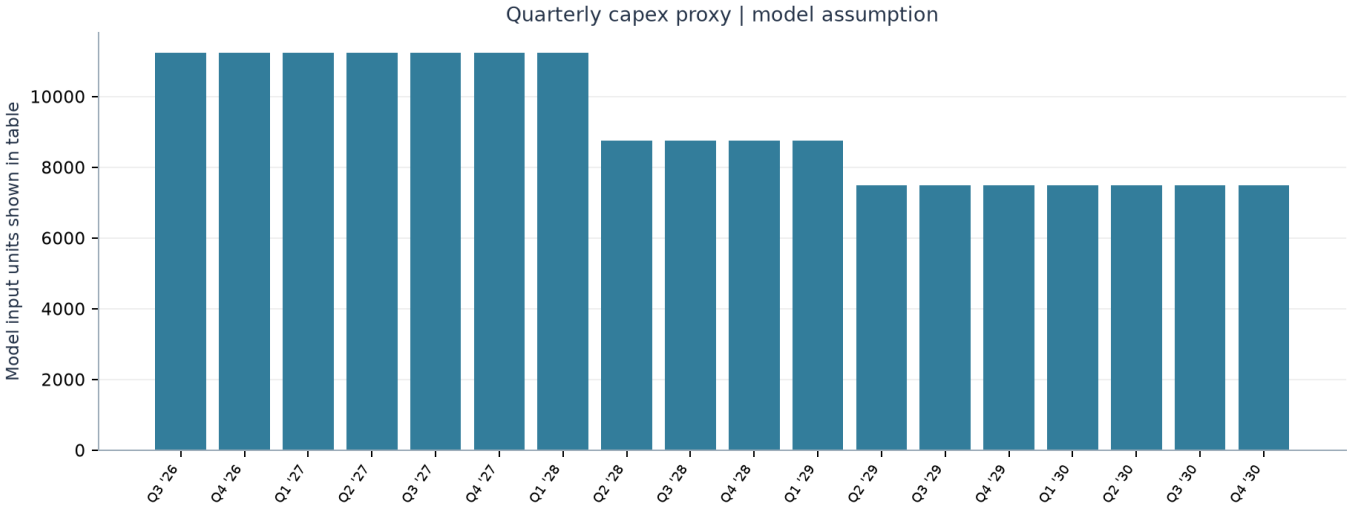
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	30,629.3	20x	182.031	3,365.29
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	32,209.3	20x	182.076	3,538.01
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	34,381.8	20x	182.122	3,775.70
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	36,519.9	20x	182.167	4,009.49
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	38,475.6	20x	182.213	4,223.15
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	40,514.6	20x	182.258	4,445.84
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	42,616.1	20x	182.304	4,675.28
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	44,800.0	20x	182.349	4,913.65
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	46,293.0	20x	182.395	5,076.13
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	47,849.5	20x	182.440	5,245.49
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	49,469.5	20x	182.486	5,421.73
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	51,153.0	20x	182.532	5,604.84
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	52,210.4	20x	182.577	5,719.27
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	53,312.8	20x	182.623	5,838.57
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	54,460.2	20x	182.669	5,962.73

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Quarterly capex proxy	Status
Q3 2026	11,250.000	medium
Q4 2026	11,250.000	medium
Q1 2027	11,250.000	medium
Q2 2027	11,250.000	medium
Q3 2027	11,250.000	medium
Q4 2027	11,250.000	medium
Q1 2028	11,250.000	low
Q2 2028	8,750.000	low
Q3 2028	8,750.000	low
Q4 2028	8,750.000	low
Q1 2029	8,750.000	low
Q2 2029	7,500.000	low
Q3 2029	7,500.000	low
Q4 2029	7,500.000	low
Q1 2030	7,500.000	low; extension, not issuer guidance
Q2 2030	7,500.000	low; extension, not issuer guidance
Q3 2030	7,500.000	low; extension, not issuer guidance
Q4 2030	7,500.000	low; extension, not issuer guidance

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	T low CTE	7,022.6	68.0%	4,775.4
Q3 2026	NER low loss	3,824.5	68.0%	2,600.7
Q3 2026	NE low loss	3,494.8	62.0%	2,166.8
Q3 2026	Other electronics	1,058.7	25.0%	264.7
Q3 2026	Medical	3,983.4	50.0%	1,991.7
Q3 2026	Composite	3,913.5	15.0%	587.0
Q3 2026	Materials solutions	2,467.8	25.0%	617.0
Q3 2026	Insulation	4,385.3	15.0%	657.8
Q3 2026	Other	5,116.3	25.0%	1,279.1
Q4 2026	T low CTE	7,029.2	68.0%	4,779.8
Q4 2026	NER low loss	3,828.1	68.0%	2,603.1
Q4 2026	NE low loss	3,498.1	62.0%	2,168.8
Q4 2026	Other electronics	1,059.7	25.0%	264.9
Q4 2026	Medical	3,987.2	50.0%	1,993.6
Q4 2026	Composite	3,917.2	15.0%	587.6
Q4 2026	Materials solutions	2,470.1	25.0%	617.5
Q4 2026	Insulation	4,389.4	15.0%	658.4
Q4 2026	Other	5,121.1	25.0%	1,280.3
Q1 2027	T low CTE	7,248.2	68.0%	4,928.8
Q1 2027	NER low loss	3,947.4	68.0%	2,684.2
Q1 2027	NE low loss	3,607.1	62.0%	2,236.4
Q1 2027	Other electronics	1,092.7	25.0%	273.2
Q1 2027	Medical	4,111.4	50.0%	2,055.7
Q1 2027	Composite	4,039.3	15.0%	605.9
Q1 2027	Materials solutions	2,547.1	25.0%	636.8
Q1 2027	Insulation	4,526.2	15.0%	678.9
Q1 2027	Other	5,280.6	25.0%	1,320.2
Q2 2027	T low CTE	8,460.0	68.0%	5,752.8
Q2 2027	NER low loss	4,935.0	68.0%	3,355.8
Q2 2027	NE low loss	3,055.0	62.0%	1,894.1

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2027	Other electronics	987.0	25.0%	246.8
Q2 2027	Medical	3,995.0	50.0%	1,997.5
Q2 2027	Composite	3,689.5	16.0%	590.3
Q2 2027	Materials solutions	2,420.5	25.0%	605.1
Q2 2027	Insulation	4,159.5	16.0%	665.5
Q2 2027	Other	4,723.5	25.0%	1,180.9
Q3 2027	T low CTE	8,820.0	68.0%	5,997.6
Q3 2027	NER low loss	5,145.0	68.0%	3,498.6
Q3 2027	NE low loss	3,185.0	62.0%	1,974.7
Q3 2027	Other electronics	1,029.0	25.0%	257.2
Q3 2027	Medical	4,165.0	50.0%	2,082.5
Q3 2027	Composite	3,846.5	16.0%	615.4
Q3 2027	Materials solutions	2,523.5	25.0%	630.9
Q3 2027	Insulation	4,336.5	16.0%	693.8
Q3 2027	Other	4,924.5	25.0%	1,231.1
Q4 2027	T low CTE	9,180.0	68.0%	6,242.4
Q4 2027	NER low loss	5,355.0	68.0%	3,641.4
Q4 2027	NE low loss	3,315.0	62.0%	2,055.3
Q4 2027	Other electronics	1,071.0	25.0%	267.8
Q4 2027	Medical	4,335.0	50.0%	2,167.5
Q4 2027	Composite	4,003.5	16.0%	640.6
Q4 2027	Materials solutions	2,626.5	25.0%	656.6
Q4 2027	Insulation	4,513.5	16.0%	722.2
Q4 2027	Other	5,125.5	25.0%	1,281.4
Q1 2028	T low CTE	9,540.0	68.0%	6,487.2
Q1 2028	NER low loss	5,565.0	68.0%	3,784.2
Q1 2028	NE low loss	3,445.0	62.0%	2,135.9
Q1 2028	Other electronics	1,113.0	25.0%	278.2
Q1 2028	Medical	4,505.0	50.0%	2,252.5
Q1 2028	Composite	4,160.5	16.0%	665.7
Q1 2028	Materials solutions	2,729.5	25.0%	682.4
Q1 2028	Insulation	4,690.5	16.0%	750.5
Q1 2028	Other	5,326.5	25.0%	1,331.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2028	T low CTE	10,105.0	67.0%	6,770.4
Q2 2028	NER low loss	6,345.0	67.0%	4,251.2
Q2 2028	NE low loss	3,172.5	61.0%	1,935.2
Q2 2028	Other electronics	940.0	24.0%	225.6
Q2 2028	Medical	4,230.0	50.0%	2,115.0
Q2 2028	Composite	3,760.0	17.0%	639.2
Q2 2028	Materials solutions	2,467.5	25.0%	616.9
Q2 2028	Insulation	4,206.5	17.0%	715.1
Q2 2028	Other	4,888.0	25.0%	1,222.0
Q3 2028	T low CTE	10,535.0	67.0%	7,058.5
Q3 2028	NER low loss	6,615.0	67.0%	4,432.1
Q3 2028	NE low loss	3,307.5	61.0%	2,017.6
Q3 2028	Other electronics	980.0	24.0%	235.2
Q3 2028	Medical	4,410.0	50.0%	2,205.0
Q3 2028	Composite	3,920.0	17.0%	666.4
Q3 2028	Materials solutions	2,572.5	25.0%	643.1
Q3 2028	Insulation	4,385.5	17.0%	745.5
Q3 2028	Other	5,096.0	25.0%	1,274.0
Q4 2028	T low CTE	10,965.0	67.0%	7,346.6
Q4 2028	NER low loss	6,885.0	67.0%	4,613.0
Q4 2028	NE low loss	3,442.5	61.0%	2,099.9
Q4 2028	Other electronics	1,020.0	24.0%	244.8
Q4 2028	Medical	4,590.0	50.0%	2,295.0
Q4 2028	Composite	4,080.0	17.0%	693.6
Q4 2028	Materials solutions	2,677.5	25.0%	669.4
Q4 2028	Insulation	4,564.5	17.0%	776.0
Q4 2028	Other	5,304.0	25.0%	1,326.0
Q1 2029	T low CTE	11,395.0	67.0%	7,634.7
Q1 2029	NER low loss	7,155.0	67.0%	4,793.9
Q1 2029	NE low loss	3,577.5	61.0%	2,182.3
Q1 2029	Other electronics	1,060.0	24.0%	254.4
Q1 2029	Medical	4,770.0	50.0%	2,385.0
Q1 2029	Composite	4,240.0	17.0%	720.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2029	Materials solutions	2,782.5	25.0%	695.6
Q1 2029	Insulation	4,743.5	17.0%	806.4
Q1 2029	Other	5,512.0	25.0%	1,378.0
Q2 2029	T low CTE	11,750.0	65.0%	7,637.5
Q2 2029	NER low loss	7,520.0	65.0%	4,888.0
Q2 2029	NE low loss	3,407.5	60.0%	2,044.5
Q2 2029	Other electronics	893.0	24.0%	214.3
Q2 2029	Medical	4,465.0	50.0%	2,232.5
Q2 2029	Composite	3,854.0	18.0%	693.7
Q2 2029	Materials solutions	2,538.0	25.0%	634.5
Q2 2029	Insulation	4,324.0	18.0%	778.3
Q2 2029	Other	4,958.5	25.0%	1,239.6
Q3 2029	T low CTE	12,250.0	65.0%	7,962.5
Q3 2029	NER low loss	7,840.0	65.0%	5,096.0
Q3 2029	NE low loss	3,552.5	60.0%	2,131.5
Q3 2029	Other electronics	931.0	24.0%	223.4
Q3 2029	Medical	4,655.0	50.0%	2,327.5
Q3 2029	Composite	4,018.0	18.0%	723.2
Q3 2029	Materials solutions	2,646.0	25.0%	661.5
Q3 2029	Insulation	4,508.0	18.0%	811.4
Q3 2029	Other	5,169.5	25.0%	1,292.4
Q4 2029	T low CTE	12,750.0	65.0%	8,287.5
Q4 2029	NER low loss	8,160.0	65.0%	5,304.0
Q4 2029	NE low loss	3,697.5	60.0%	2,218.5
Q4 2029	Other electronics	969.0	24.0%	232.6
Q4 2029	Medical	4,845.0	50.0%	2,422.5
Q4 2029	Composite	4,182.0	18.0%	752.8
Q4 2029	Materials solutions	2,754.0	25.0%	688.5
Q4 2029	Insulation	4,692.0	18.0%	844.6
Q4 2029	Other	5,380.5	25.0%	1,345.1
Q1 2030	T low CTE	13,250.0	65.0%	8,612.5
Q1 2030	NER low loss	8,480.0	65.0%	5,512.0
Q1 2030	NE low loss	3,842.5	60.0%	2,305.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2030	Other electronics	1,007.0	24.0%	241.7
Q1 2030	Medical	5,035.0	50.0%	2,517.5
Q1 2030	Composite	4,346.0	18.0%	782.3
Q1 2030	Materials solutions	2,862.0	25.0%	715.5
Q1 2030	Insulation	4,876.0	18.0%	877.7
Q1 2030	Other	5,591.5	25.0%	1,397.9
Q2 2030	T low CTE	12,925.0	64.0%	8,272.0
Q2 2030	NER low loss	8,460.0	63.0%	5,329.8
Q2 2030	NE low loss	3,760.0	59.0%	2,218.4
Q2 2030	Other electronics	846.0	23.0%	194.6
Q2 2030	Medical	4,700.0	50.0%	2,350.0
Q2 2030	Composite	3,948.0	18.0%	710.6
Q2 2030	Materials solutions	2,608.5	25.0%	652.1
Q2 2030	Insulation	4,441.5	18.0%	799.5
Q2 2030	Other	5,052.5	25.0%	1,263.1
Q3 2030	T low CTE	13,475.0	64.0%	8,624.0
Q3 2030	NER low loss	8,820.0	63.0%	5,556.6
Q3 2030	NE low loss	3,920.0	59.0%	2,312.8
Q3 2030	Other electronics	882.0	23.0%	202.9
Q3 2030	Medical	4,900.0	50.0%	2,450.0
Q3 2030	Composite	4,116.0	18.0%	740.9
Q3 2030	Materials solutions	2,719.5	25.0%	679.9
Q3 2030	Insulation	4,630.5	18.0%	833.5
Q3 2030	Other	5,267.5	25.0%	1,316.9
Q4 2030	T low CTE	14,025.0	64.0%	8,976.0
Q4 2030	NER low loss	9,180.0	63.0%	5,783.4
Q4 2030	NE low loss	4,080.0	59.0%	2,407.2
Q4 2030	Other electronics	918.0	23.0%	211.1
Q4 2030	Medical	5,100.0	50.0%	2,550.0
Q4 2030	Composite	4,284.0	18.0%	771.1
Q4 2030	Materials solutions	2,830.5	25.0%	707.6
Q4 2030	Insulation	4,819.5	18.0%	867.5
Q4 2030	Other	5,482.5	25.0%	1,370.6

Operating-cost derivation

Quarter	R&D	SG&A excluding R&D
Q3 2026	1,150.6	6,432.5
Q4 2026	1,151.6	6,652.4
Q1 2027	1,187.5	6,682.5
Q2 2027	1,202.0	6,626.8
Q3 2027	1,253.2	6,908.8
Q4 2027	1,304.3	7,190.7
Q1 2028	1,355.5	7,472.7
Q2 2028	1,283.7	6,739.2
Q3 2028	1,338.3	7,026.0
Q4 2028	1,392.9	7,312.8
Q1 2029	1,447.5	7,599.6
Q2 2029	1,355.0	7,037.3
Q3 2029	1,412.7	7,336.8
Q4 2029	1,470.3	7,636.2
Q1 2030	1,528.0	7,935.7
Q2 2030	1,402.2	7,385.2
Q3 2030	1,461.9	7,699.4
Q4 2030	1,521.6	8,013.7

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2027	N1 NER demand above reference	35%	528.8	370.1	49.4	112.3
Q3 2027	N1 NER demand above reference	35%	551.2	385.9	51.5	117.0
Q4 2027	N1 NER demand above reference	35%	573.8	401.6	53.6	121.8
Q4 2027	N2 later T new order premium	25%	183.6	91.8	9.2	20.7
Q1 2028	N1 NER demand above reference	35%	596.2	417.4	55.7	126.6
Q1 2028	N2 later T new order premium	25%	190.8	95.4	9.5	21.5
Q2 2028	N1 NER demand above reference	35%	528.8	364.8	49.4	110.4
Q2 2028	N2 later T new order premium	25%	202.1	101.0	10.1	22.7
Q2 2028	N3 competitor qualification	20%	-505.2	-338.5	25.3	-72.8
Q3 2028	N1 NER demand above reference	35%	551.2	380.4	51.5	115.1
Q3 2028	N2 later T new order premium	25%	210.7	105.4	10.5	23.7
Q3 2028	N3 competitor qualification	20%	-526.8	-352.9	26.3	-75.9
Q4 2028	N1 NER demand above reference	35%	573.8	395.9	53.6	119.8
Q4 2028	N2 later T new order premium	25%	219.3	109.7	11.0	24.7
Q4 2028	N3 competitor qualification	20%	-548.2	-367.3	27.4	-78.9
Q1 2029	N1 NER demand above reference	35%	596.2	411.4	55.7	124.5
Q1 2029	N2 later T new order premium	25%	227.9	114.0	11.4	25.6
Q1 2029	N3 competitor qualification	20%	-569.8	-381.7	28.5	-82.0
Q2 2029	N1 NER demand above reference	35%	528.8	352.5	49.4	106.1
Q2 2029	N2 later T new order premium	25%	235.0	117.5	11.8	26.4
Q2 2029	N3 competitor qualification	20%	-587.5	-381.9	29.4	-82.2
Q3 2029	N1 NER demand above reference	35%	551.2	367.5	51.5	110.6
Q3 2029	N2 later T new order premium	25%	245.0	122.5	12.2	27.6
Q3 2029	N3 competitor qualification	20%	-612.5	-398.1	30.6	-85.8

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2029	N1 NER demand above reference	35%	573.8	382.5	53.6	115.1
Q4 2029	N2 later T new order premium	25%	255.0	127.5	12.8	28.7
Q4 2029	N3 competitor qualification	20%	-637.5	-414.4	31.9	-89.2
Q1 2030	N1 NER demand above reference	35%	596.2	397.5	55.7	119.6
Q1 2030	N2 later T new order premium	25%	265.0	132.5	13.2	29.8
Q1 2030	N3 competitor qualification	20%	-662.5	-430.6	33.1	-92.8
Q2 2030	N1 NER demand above reference	35%	705.0	453.6	65.8	135.7
Q2 2030	N2 later T new order premium	25%	258.5	129.2	12.9	29.1
Q2 2030	N3 competitor qualification	20%	-646.2	-413.6	32.3	-89.2
Q3 2030	N1 NER demand above reference	35%	735.0	472.9	68.6	141.5
Q3 2030	N2 later T new order premium	25%	269.5	134.8	13.5	30.3
Q3 2030	N3 competitor qualification	20%	-673.8	-431.2	33.7	-93.0
Q4 2030	N1 NER demand above reference	35%	765.0	492.2	71.4	147.3
Q4 2030	N2 later T new order premium	25%	280.5	140.2	14.0	31.6
Q4 2030	N3 competitor qualification	20%	-701.2	-448.8	35.1	-96.8

Claim decisions, overlap and triggers

N1_NER_demand_above_reference

source: BofA Oct 5, plus issuer Aug 5 Q&A and May 12 Q&A

source scope: NER only; NE/T and consolidated revenue are different scopes

p: 0.35

reference: FY2027 NER 21B versus assumed FY2026 15B; 40% reference growth

Conditional: FY2027 NER 24B, a 60% outcome, minus 0.75B NE substitution; later conditional deltas 3/3/4B

overlap: Reference captures 40% NER growth and ordinary capacity plan. Only 20 points more NER growth admitted; 25% cannibalization removes overlapping NE wallet. Not applying bank growth to whole company.

costs: NER GP less NE displaced GP, 7% incremental opex reserve

raise trigger: Issuer reports stronger qualified shipments, NER mix and capacity with no offsetting NE collapse; 35% to 50%

cut trigger: Yield/qualification delay or substitutes take demand; 35% to 15%

active horizon revenue delta: 787.5

active horizon op delta: 473.97

active horizon ceiling delta: 52.010830957594685

N2_later_T_new_order_premium

source: Issuer Aug 5 Q&A; strong demand, pricing considered when extra supply reaches market; May no current further hikes

p: 0.25

reference: Existing FY2026 T prices and all prior rises already in reference

Conditional: From CYQ4 2027 only, 8% extra ASP on 25% newly supplied/repriceable T revenue, 50% cost absorption and 5% opex reserve

overlap: No premium on entire installed business and no second premium on new NER volumes; no increment in FY2026 because current guidance/contract stance already incorporated

raise trigger: New capacity accepted and higher new-order pricing documented; 25% to 45%

cut trigger: Customer share transfers force stable/lower terms; 25% to 10%

active horizon revenue delta: 196.8

active horizon op delta: 88.56

active horizon ceiling delta: 9.718081713198272

N3_competitor_qualification

source: Issuer Aug 5 Q&A acknowledges customers considering competitors because supply is tight

p: 0.2

Conditional: 5% T volume loss from CYQ2 2028, lost GP plus 5% revenue fixed-cost reserve

overlap: Volume/share effect separate from reference margin fade; no duplicate generic AI demand haircut

raise trigger: Named qualification and customer migration; 20% to 40%

cut trigger: Strong Nittobo capacity fill and stable share; 20% to 10%

active horizon revenue delta: -206.40000000000003

active horizon op delta: -148.608

active horizon ceiling delta: -16.307415167513195

Remaining bounded uncertainties

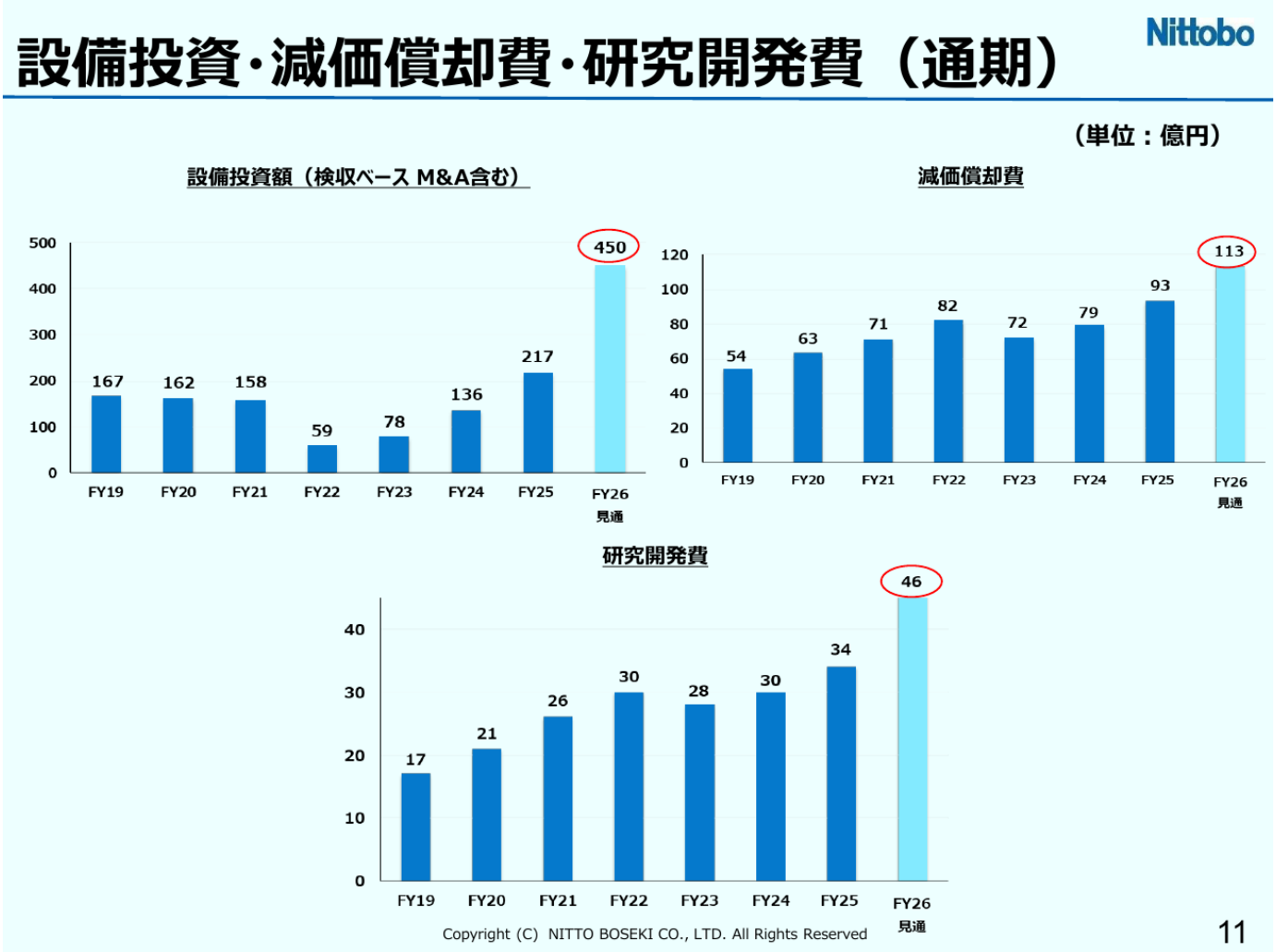
- Exact grade sales, contract-reset pool and product gross margin

- Saleable yield, customer-accepted output and utilization by new furnace/weaving/treatment line
- Incremental Taiwan/Japan energy costs and equipment acceptance by quarter
- NER 60% FY2027 channel-check scope and NE substitution
- Actual dilution and treasury changes after June30

Selected original evidence

Source exhibit 1

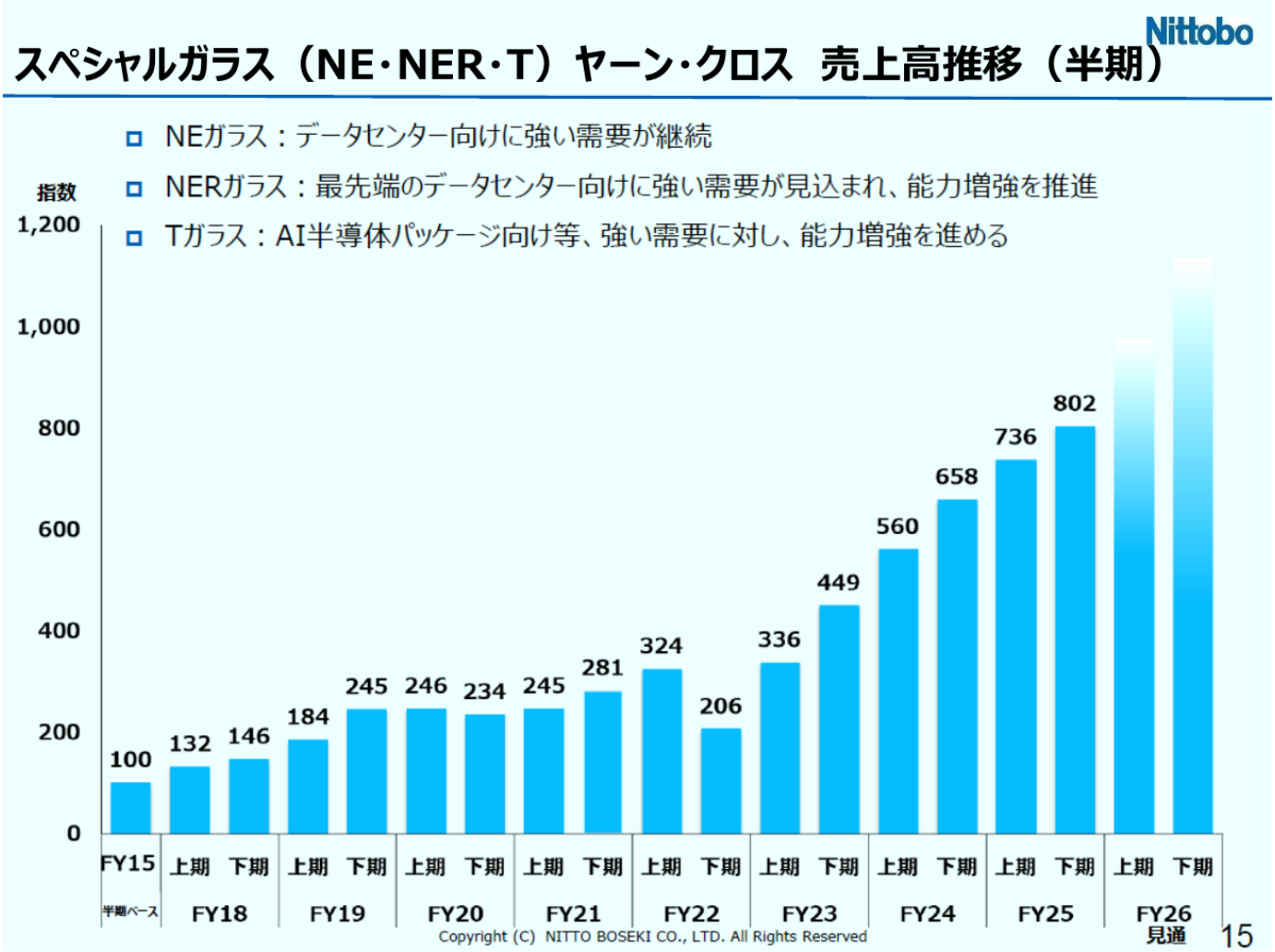
Issuer source retained in the evidence manifest | Capex, depreciation and R&D step-up; amounts 100M yen



Capex, depreciation and R&D step-up; amounts 100M yen Original units and footnotes apply.

Source exhibit 2

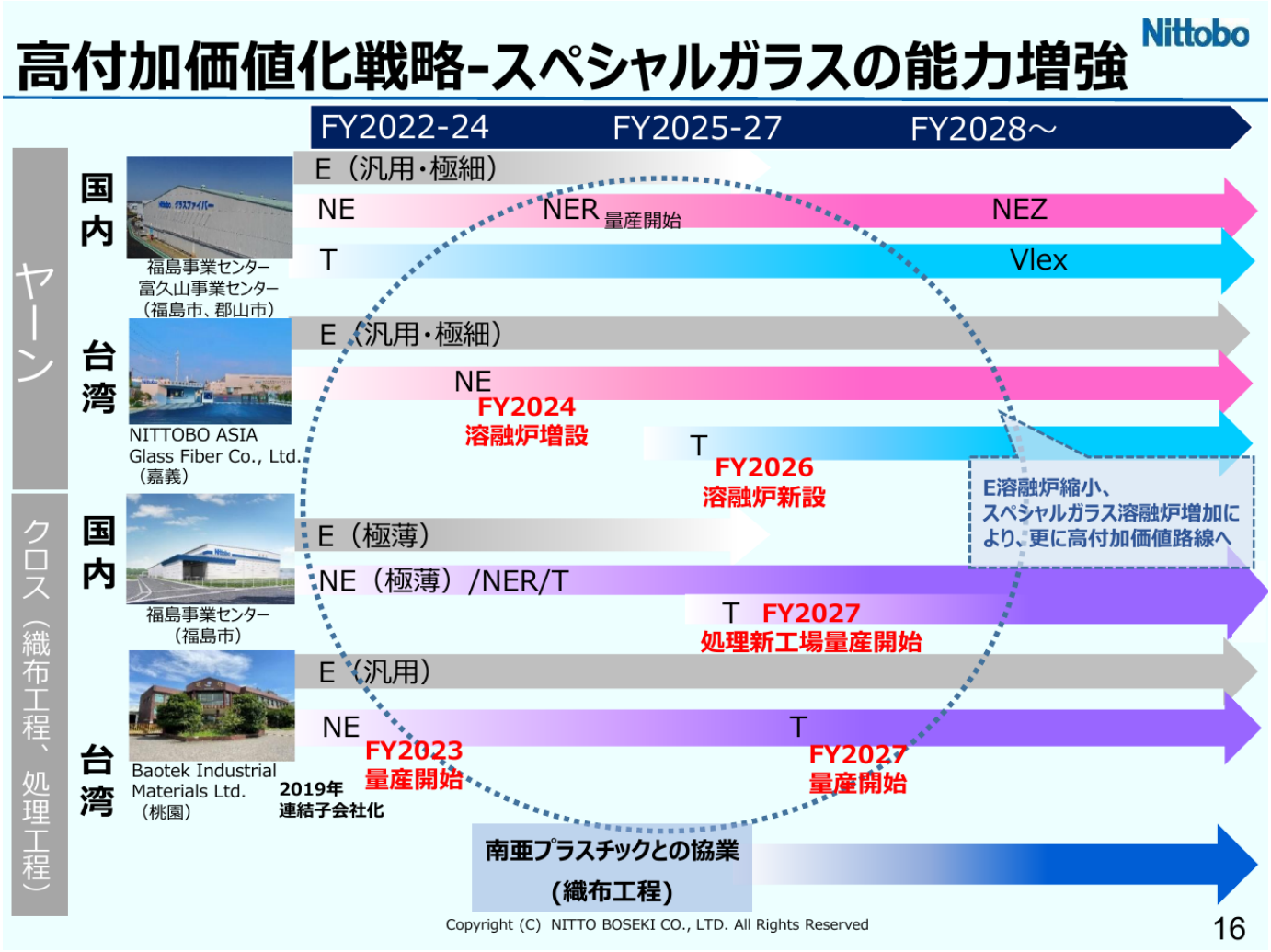
Issuer source retained in the evidence manifest | Special-glass revenue index; index, not absolute sales



Special-glass revenue index; index, not absolute sales Original units and footnotes apply.

Source exhibit 3

Issuer source retained in the evidence manifest | Furnace, weaving and treatment timing must all match



Furnace, weaving and treatment timing must all match Original units and footnotes apply.

Source exhibit 4

Issuer source retained in the evidence manifest | T-glass low-CTE versus NE/NER low-loss use cases

Nittobo

スペシャルガラス(NE/Tガラス)の半導体・PCB用途(2026年8月)

- 通信・情報・生成AIインフラ⇒エッジ機器⇒自動車分野へと、ロジック・メモリを中心に用途拡大



用途		機器・部品	基板種類		素材への要求	グラスファイバー種類 ハイエンド	ミドルエンド
通信・情報インフラ	・携帯電話基地局 ・データセンター スイッチ/ルータ/サーバー ・AIサーバー	プロセッサー・コントローラー	半導体パッケージ基板	CPU/GPU/ASIC	低CTE	T	E
				LPU/DPU	低CTE	T	
				NANDメモリ	低CTE	薄物T	E
				DDR5メモリ	低CTE	薄物T	
				LPDDR5メモリ	低CTE	薄物T	
				DDRメモリ	低誘電正接	NE/NER	E
				LPDDR5x/6, GDDR7	低誘電正接	NE/NER	
		マザーボード	サーバー(AI、General)		低誘電正接	NE/NER	E
			スイッチ(Core , AI)		低誘電正接	NE/NER/NEZ	E
		アクセラレータ	拡張カード (LPU/DPU/NIC)		低誘電正接	NE/NER	E
エッジ機器	・スマートフォン・タブレット・モバイルPC ・エッジAIデバイス	プロセッサー	半導体パッケージ基板	AP・CPU/NPU	低CTE	極薄T、T	極薄E
		不揮発性メモリ		NANDメモリ	低CTE	極薄T	超極薄E
		揮発性メモリ		DDRメモリ	低CTE	極薄T(スマホ)	
				DDRメモリ	低誘電正接	NE(PC)	
		マザーボード	マザーボード基板		低誘電正接	NE	極薄E
		無線通信	RFパッケージ基板		低誘電正接	極薄NE	極薄E
	・デスクトップ・ノートPC・AI-PC	CPU・メモリー	半導体パッケージ基板	CPU/GPU/NPU	低CTE	T	E
		マザーボード		DDRメモリ	低誘電正接	NE(PC)	E
	・AR/VR・ドローン	先端SoC	半導体パッケージ基板		低CTE	薄物T	超極薄E
自動車	・電気自動車・ADAS	先端SoC	半導体パッケージ基板		低CTE	薄物T	E
		ミリ波レーダー	モジュール基板		低誘電正接	極薄NE	E

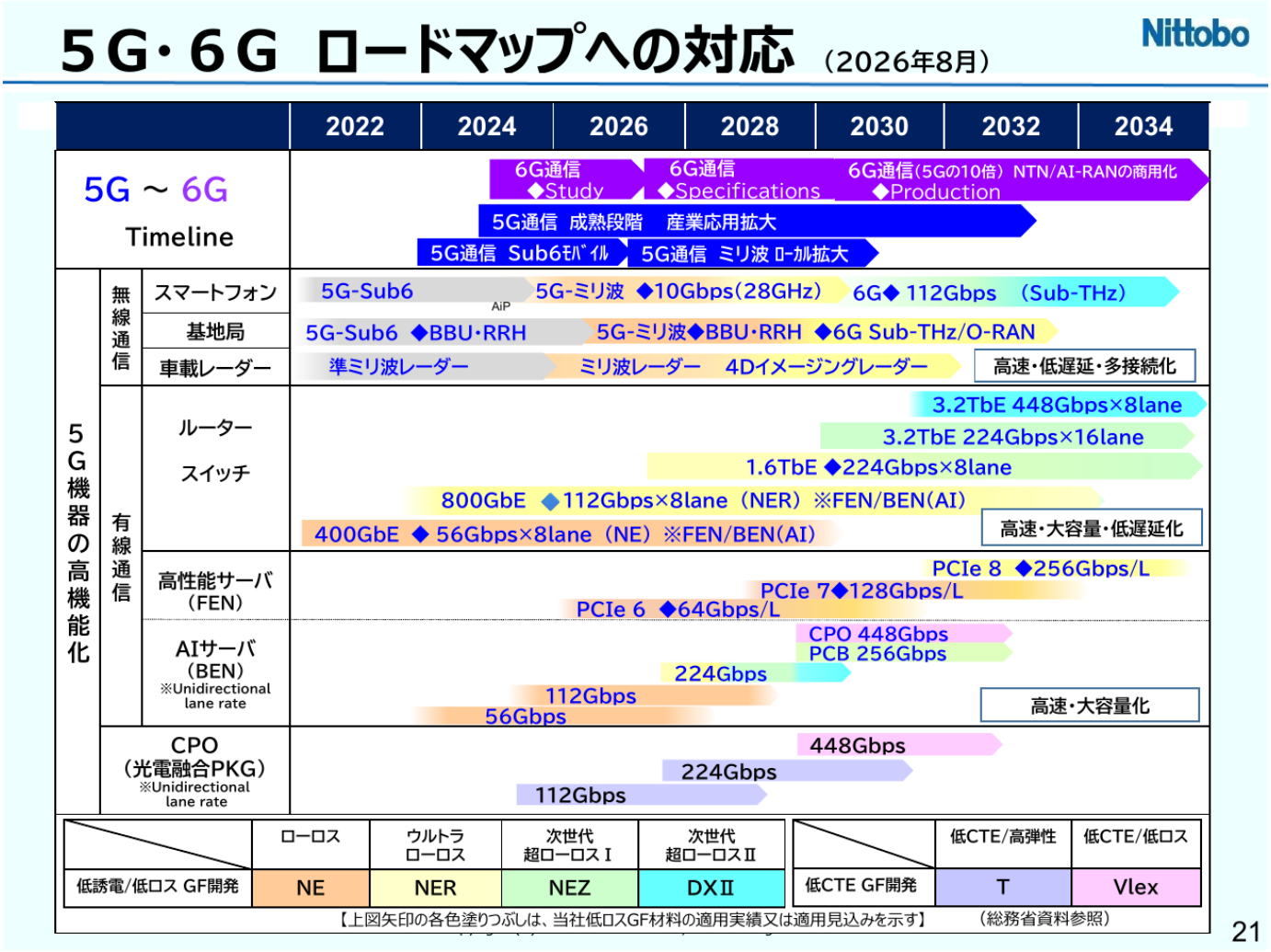
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T-glass low-CTE versus NE/NER low-loss use cases Original units and footnotes apply.

Source exhibit 5

Issuer source retained in the evidence manifest | Glass roadmap across 800G, 1.6T and later link generations



Glass roadmap across 800G, 1.6T and later link generations Original units and footnotes apply.

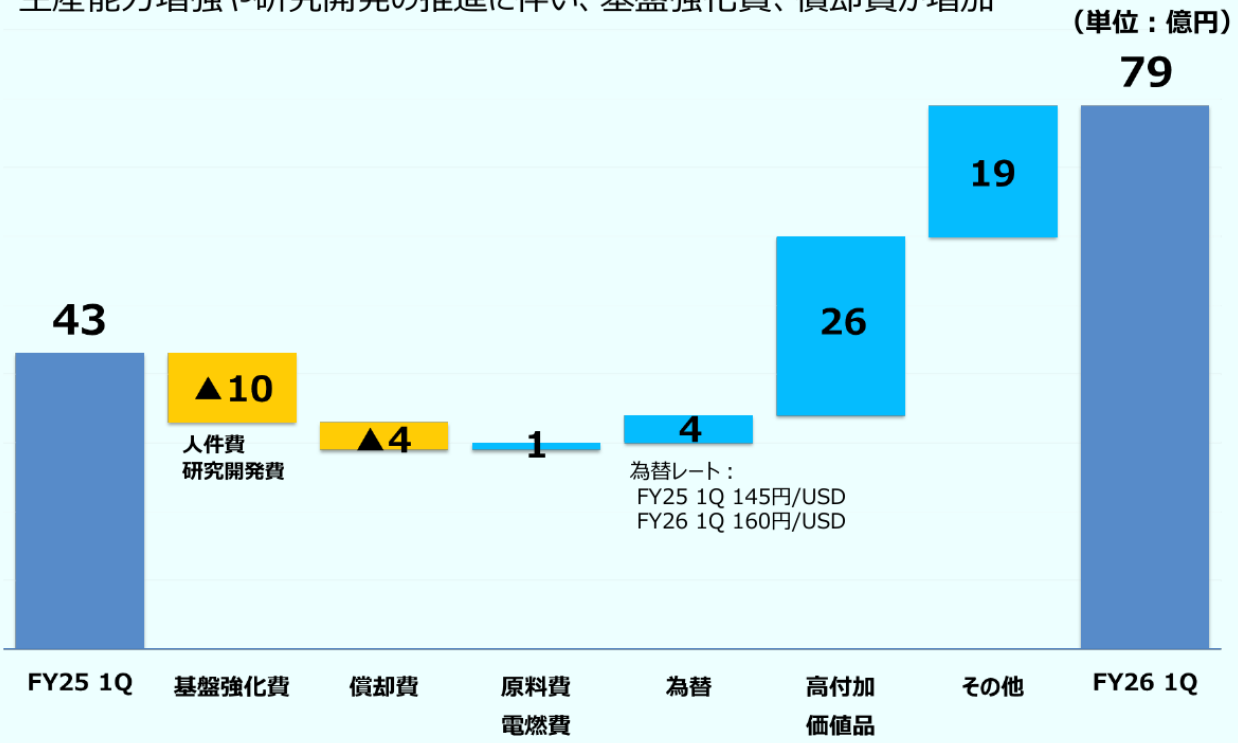
Source exhibit 6

Issuer source retained in the evidence manifest | Reported Q1 operating-profit bridge; amounts 100M yen

営業利益 増減分析（FY25 1Q vs FY26 1Q）

Nittobo

- 高付加価値品に含まれるスペシャルガラスの販売が好調だったことが大きく貢献
- スペシャルガラスを中心に価格改定を進めたことが増益に寄与
- 生産能力増強や研究開発の推進に伴い、基盤強化費、償却費が増加



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Reported Q1 operating-profit bridge; amounts 100M yen Original units and footnotes apply.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q1_FY2026_release_2026-08-05

https://cdn.financialreports.eu/financialreports/media/filings/11142/2026/RNS/11142_rns_2026-08-05_1764c439-dc3a-474f-a625-f60e9da72be0.pdf

Archived source SHA-256: 7a0f2e80e0626b752d4c1b6d729d68ec76ab514de598d46408ac6b9de559c222

[2] Q1_FY2026_deck_JA_2026-08-05

https://ssl4.eir-parts.net/doc/3110/ir_material_for_fiscal_ym1/209585/00.pdf

Archived source SHA-256: 951dc1253ae1e823f8df7a8caefdde5d43ac658be8786c604cdffa79ff2b7d96

[3] Q1_FY2026_QA_JA_2026-08-06

https://ssl4.eir-parts.net/doc/3110/ir_material_for_fiscal_ym1/209977/00.pdf

Archived source SHA-256: 1f62791907d761332da7a2757abc2bc13cb5ac05c3f912ebd2ec1ff9ef78d6a8

[4] FY2025_release_JA_2026-05-12 | 2026-05-12

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Archived source SHA-256: 3eb0394059ba40aeb4ca1eabb0daf6ab7c6d7faa4d19d50a96e014f8aa5bbf67

[5] MTBP_revision_2026-05-12 | 2026-05-12

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Model formulas: reference GP sums product revenue x GM; reference OP deducts specified costs. Each conditional revenue/GP/cost delta is multiplied by its probability once. The ceiling uses the sum of four consecutive quarterly valuation operating profits x the stated multiple / diluted shares at the starting quarter. Net cash, debt and minority claims follow the company-specific method explanation.